

[Figure 7-7](#) illustrates the return differences between the U.S. stock index, the EAFE Index, and the MSCI Emerging Markets Index. Notice how much more volatile the emerging market index is than either the U.S. market index or the MSCI EAFE Index for developed markets. Volatility is not a bad trait for an investment because investors are broadly diversified and rebalance their portfolios occasionally.

TABLE 7-4

Emerging Market Performance, 1999–2009

	DFA Equal Weight Emerging Market Index	MSCI Emerging Markets Index
Annualized return	14.6%	14.1%
Standard deviation	24.0%	24.9%

Source: MSCI and Dimensional Fund Advisors

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FIGURE 7-7

Annual Return Differences between U.S. Stocks, EAFE, and Emerging Markets